Swift-Enabled USD MT IBAN with Attached USD Visa Card – RoW Proposition - WIP

Target release	
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Business Owner	
Product Owner	
Project Manager	
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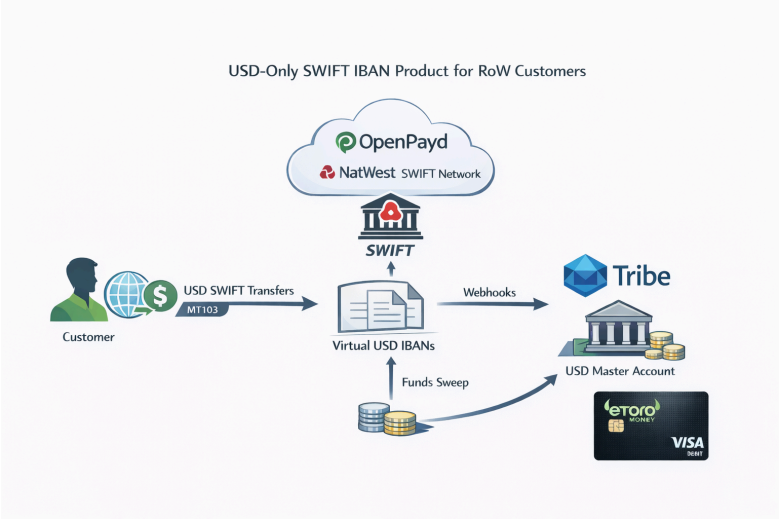
Presentation	eToro card Worldwide Strategy
Other Slides	
Source Document	Multi-currency account Jurisdictions
JIRA Tciket	https://customer.support.tribepayments.com/servicedesk/customer/portal/6/TS-31372

1. Purpose

Enable a **USD-only SWIFT IBAN product for Rest-of-World (RoW) customers**, integrated via Tribe and powered by OpenPayd (NatWest), with an attached USD Visa debit card (Virtual-first, Physical optional based on eligibility tier).



This is a **new product line**, separate from the existing EUR SEPA IBAN.

This document defines:

- Business objective

- Product definition
- Core flows
- System responsibilities
- Compliance constraints
- Impact & dependencies

2. Business Objective

Primary Goal

Provide RoW customers with:

- A standalone USD IBAN (SWIFT-only)
- USD inbound funding via SWIFT (MT103)
- USD outbound withdrawals via SWIFT – Out of Scope for Phase 1 (Future Phase**)**
- Provide a Virtual USD Visa debit card by default
- Enable optional physical card issuance for eligible tiers
- Create a scalable RoW card distribution model

Why

Today, non-SEPA customers:

- Rely on fragmented local rails
- Face funding friction
- Have limited banking capabilities

This initiative:

- Standardizes cross-border funding
- Expands RoW capability (LATAM, GCC, APAC)
- Provides a global USD account experience
- Creates a foundation for future expansion

3. Product Definition

3.1 Account Model

- Currency: **USD only**
- Standalone IBAN (no MCCY behavior)
- SWIFT-only rail

- Each IBAN is linked to:
    - Individual client
    - USD Visa debit card
- Funds sweep from vIBAN → USD master account

No FX, no SEPA, no Faster Payments.

3.2 Supported SWIFT Messages (Phase 1)

In Scope

- MT103 (Inbound)

Out of Scope

- MT103 Outbound
- MT940 / MT942
- MT202
- SWIFT Express
- Non-SWIFT rails

Phase 1 supports inbound MT103 only. Outbound SWIFT functionality will be evaluated in a future phase.

3.3 Visa Debit Card Model

Card Type

- USD Visa Debit
- Virtual-first issuance model
- Physical optional (based on club tier & subscription logic)

Card Issuance Entity

- Issuer: Malta program (Tag Poland processing)
- BIN: Existing USD BIN under Malta

Card-IBAN Linkage

- One USD SWIFT IBAN per client
- One USD virtual card linked to the same USD ledger
- Balance source: USD ledger funded via SWIFT MT103

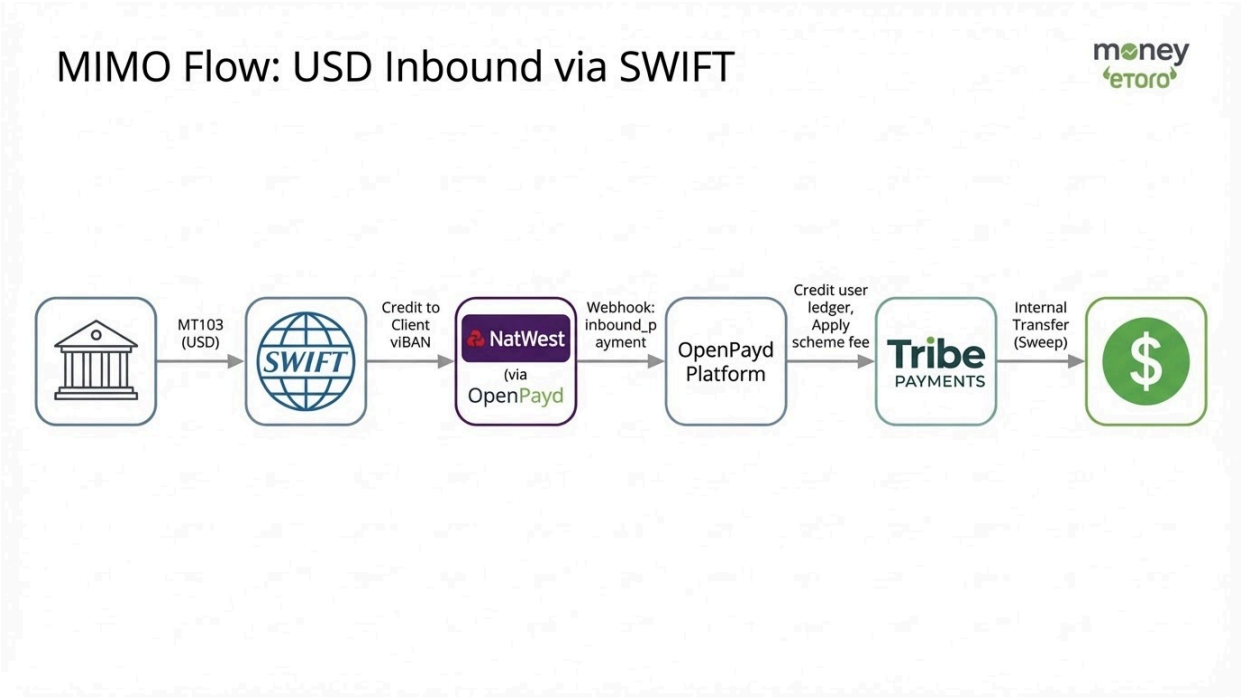
Card Funding Logic

- No separate wallet
- Direct ledger-based authorization
- No FX in Phase 1 (USD-only model)

4. Payment Flows

4.1 Inbound (Money In)

1. Client sends USD via SWIFT.
2. OpenPayd receives funds.
3. Webhook → Tribe.
4. Tribe credits USD balance.
5. Sweep to the master account.



Edge Cases

- Non-USD inbound:
  - No automatic FX.
  - Held at OpenPayd.

    - Manual decision required.

- Incorrect details:

    - Rejection via ISO20022 reason code.

- Returns:

    - Linked return (transaction ID).
    - Unlinked return (requires reconciliation logic).

Client must be clearly informed: **USD-only IBAN**.

4.2 Outbound (Money Out)-Out of Scope

Outbound SWIFT withdrawals are not included in Phase 1.

No client-initiated SWIFT payout functionality will be available at launch.

Card transactions remain fully supported and will debit the same USD ledger.

Outbound SWIFT (MT103) will be considered for a future phase following:

- Reconciliation framework implementation
- AML outbound monitoring model
- Scheme-level outbound fee validation
- Negative balance risk mitigation review

Virtual Card Proposition

4.3 Overview

The Virtual USD Visa card is automatically issued upon successful provisioning of the USD SWIFT IBAN.

This enables:

- Immediate online spend capability
- Apple Pay / Google Pay (where supported)
- No dependency on international shipping

Virtual card issuance is mandatory for Phase 1.

4.2 Eligibility Model (Tier-Based TBC)

Based on the latest discussion

Tier	Virtual Card	Physical Card
Bronze	Yes	No
Silver	Yes	Optional (Subscription-based)
Gold	Yes	Eligible upon request
Platinum+	Yes	Yes
Diamond	Yes	Yes (Premium design possible)

4.3 Physical Card (Optional Expansion)

Although Phase 1 is Virtual-first, the system must support:

- Physical card issuance in Malta
- Global shipping capability
- Shipping cost exposure (Ops + Finance review required)
- Replacement & renewal model

Shipping Model:

- International fulfillment required
- The manual shipping workaround is not sustainable

4.4 Rollout Strategy

- Controlled rollout via Optimizely
- Tier-based gradual activation

- Volume monitoring
- Risk & Ops capacity validation before Bronze expansion

No mass activation at launch.

4.5 Card Controls & Risk

- Card transaction limits (daily/monthly)
- Cross-border MCC monitoring
- Geo-blocking logic
- AML trigger scenarios for:
    - High velocity
    - Card-funded outbound SWIFT loops
    - Suspicious circular flows

4.6 Operational Impact

Ops must assess:

- Ticket volume projection (virtual card queries)
- Card lifecycle events:
    - Freeze/unfreeze
    - Reissue
    - Expiry
    - Chargebacks
- 3DS support
- Dispute handling

Resource model required before Bronze rollout.

4.7 Me-to-Me Funding & Internal Transfer Model

4.7.1 Definition

“Me-to-Me” refers to a funding flow where:

- The client transfers funds from an account held in their own name (e.g., personal bank account)
- Into their USD SWIFT IBAN issued under this proposition
- With no third-party beneficiary involvement

This is considered first-party funding only.

4.7.2 Phase 1 Position

Phase 1 supports first-party inbound funding only.

Permitted:

- USD MT103 inbound transfers
- Sender name must match the IBAN account holder name (subject to standard AML tolerance rules)

Not permitted:

- Third-party inbound funding (unless separately approved under AML policy)
- Corporate bulk funding into retail IBANs

4.7.3 Compliance & Regulatory Rationale

The Me-to-Me restriction supports:

- EMI safeguarding requirements
- Reduced AML exposure for RoW customers
- Avoidance of unintended remittance or correspondent banking behavior
- Alignment with reverse solicitation constraints

Any third-party inbound transfers may be:

- Automatically rejected
- Held for manual review
- Returned to sender

Final operational handling to be confirmed with OpenPayd.

4.7.4 Risk Controls

The following controls will apply:

- Name match monitoring (sender vs IBAN holder)
- Velocity monitoring for repetitive inbound patterns
- Enhanced monitoring for circular card-funded behavior
- Monitoring of rapid inbound → card spend → external liquidation patterns

Unusual activity will trigger an AML review.

5. Fee Logic

SWIFT is implemented as a new payment scheme.

Phase 1 Fee Scope:

- Inbound SWIFT (MT103) scheme-level fee support
- OUR / SHA / BEN configuration logic (for inbound impact only)
- Handling of:
    - Gross amount
    - Fee amount
    - Net credited amount

Outbound SWIFT fee logic is not applicable in Phase 1.

OpenPayd indicative pricing: ~$12 per SWIFT transaction (inbound).

Scheme-level fee logic remains a core requirement for Phase 1 implementation.

6. Responsibility Allocation

OpenPayd

- SWIFT rail enablement (NatWest)
- IBAN provisioning
- Webhooks
- ISO20022 reason codes
- Master account sweep
- Sandbox provisioning
- SWIFT charging

Tribe

- Register SWIFT as a new inbound scheme
- Implement scheme-level inbound fee logic
- Webhook parsing (inbound MT103 only)
- Inbound return handling logic
- AML & limits update (inbound flows)
- Virtual card issuance
- Card-to-ledger linkage
- Authorization handling
- Visa settlement mapping

eToro

- Product definition
- Client communication
- Compliance approval
- AML policy updates
- Operational oversight
- Commercial pricing validation
- Tier eligibility logic ownership
- Rollout strategy governance
- Shipping cost approval
- Operational staffing model
- Finance reconciliation sign-off

7. Regulatory & Compliance Considerations

EMI Constraints

- Funds safeguarded.
- No negative balances.
- No pre-credit before confirmed receipt (unless corporate prefunding model approved).

AML Impact

- Cross-border risk increases.
- Enhanced monitoring is required.
- Unlinked returns must trigger AML review.
- Large transactions require source-of-funds checks.
- Card spend cross-border monitoring
- Card-funded withdrawal pattern detection
- Increased RoW exposure risk

Mandatory Client Disclosure

- USD-only IBAN.
- Non-USD inbound may be rejected.
- SWIFT fees may apply.
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8. Jurisdiction Coverage

Approved key jurisdictions include:

https://docs.google.com/spreadsheets/d/19_7fcDlUvpy6Oipf0Aiy6oaLUQOXrmD0/edit?gid=259715026#gid=259715026

9. Impact Analysis

Impact on Tribe

- New scheme implementation
- Fee logic complexity
- Webhook handling updates
- AML logic adjustments
- Resource pressure (large effort estimate)

Impact on OpenPayd

- NatWest SWIFT configuration
- Sandbox setup
- Jurisdiction compliance validation
- Manual handling of non-USD inbound

Impact on eToro

- Global USD banking capability
- AML workload increase
- Client support training
- SWIFT transaction cost exposure
- Expansion into RoW markets
- Card operations workload increase
- International shipping complexity
- Visa chargeback exposure
- Customer support training for card queries

Finance – Key Requirements for USD Virtual IBAN + Card Project

Product & Scope

- Phase 1 = USD-only IBAN (SWIFT inbound only)
- No outbound SWIFT in Phase 1
- Virtual USD Visa card mandatory for launch
- Physical card out of scope for Phase 1
- Non-USD inbound must be rejected (no FX conversion supported)

Entity & Regulatory Mapping

Objective: Ensure correct regulatory and accounting treatment across entities.

Actions:

- Map USD IBAN balances to the correct **licensed trading entity**
- Define reporting logic for:
    - Licensed entity
    - Country of origination
- Confirm safeguarding treatment under **eToro Money Malta**
- Confirm regulatory reporting impact (Malta + other trading entities)

Master Account & Safeguarding Structure

Objective: Validate custody and segregation, model.

Actions:

- Confirm structure:
    - OpenPayd USD master account
    - USD safeguarded account
- Confirm one-to-many relationship impact (Malta → multiple trading entities)
- Validate segregation logic remains regulator-compliant
- Confirm whether additional safeguarded accounts are required

Settlement & FTSRE Configuration

Objective: Ensure correct Visa & USD settlement routing.

Actions:

- Confirm how the USD settlement will roll into the existing FTSRE
- Validate if a new FTSRE setup is required for the USD sub-BIN
- Confirm like-to-like settlement mechanics for USD
- Validate Currency Cloud interaction for FX transactions

Sub-BIN & Country Segmentation

Objective: Enable reconciliation and exposure tracking.

Actions:

- Confirm requirement for:

    - Dedicated USD sub-BIN
    - Potential country segmentation via sub-BIN tagging
- Decide whether country-level BIN segmentation is required for reporting

Reconciliation Framework

Objective: Avoid manual-heavy reconciliation post-launch.

Actions:

- Define reconciliation between:
    - OpenPayd inbound USD
    - Tribe ledger
    - Safeguarded account
    - Visa settlement
- Identify required data points from Tribe
- Define required SFTP / reporting feeds
- Confirm ability to reconcile by:
    - Entity
    - Country
    - Sub-BIN
    - IBAN

FX & Liquidity Risk Assessment

Objective: Manage USD exposure correctly.

Actions:

- Assess expected USD inflow volumes
- Define USD liquidity buffer requirement
- Evaluate FX exposure vs existing EUR reconciliation model
- Confirm accounting treatment (EUR reporting conversion logic)

Non-USD Inbound Handling

Objective: Avoid suspense balances & operational risk.

Actions:

- Confirm OpenPayd rejection logic for non-USD inbound
- Define fallback process if non-USD received
- Confirm operational escalation workflow

BI & Reporting Requirements

Objective: Ensure reporting readiness from Day 1 and support SWIFT MT103 data visibility and reconciliation.

Actions:

- Define required BI dashboards
- Identify new USD reporting metrics
- Confirm:
    - Country-level reporting
    - Entity-level exposure reporting
    - Card vs IBAN inflow breakdown
- Define required MT103 data points to be captured and exposed, including:
    - Transaction reference identifiers
    - Instructed amount vs credited (net) amount
    - Currency and value date
    - Sender/originator details
    - Payment routing information (where available)
- Confirm which MT103 fields are:
    - Parsed by Tribe
    - Stored in the system
    - Available via webhook/API for downstream reporting
- Ensure MT103 transaction data is available for BI consumption in a structured format
- Align SWIFT reporting structure with existing SEPA / Faster Payments reporting where possible
- Identify gaps between required BI data and available Tribe/OpenPayd data, and define a mitigation approach
- Capture requirements for correspondent / intermediary fee visibility (if available in MT103 message)
- Confirm ability to support Customer Support use cases via BI (e.g. “sent vs received amount” queries)
- Define reporting logic for USD balances under Malta entity (including EUR-equivalent reporting if required

Operations & Risk Requirements (Phase 1)

USD-Only Funding Enforcement

As discussed, Phase 1 supports **USD-only inbound funding**.

Operational requirements:

- Clear customer communication that IBAN accepts **USD only**
- Non-USD inbound transactions must not be converted automatically
- Non-USD inbound handling must follow one of the following paths:
    - Automatic rejection at OpenPayd level (preferred)
    - Held at OpenPayd pending manual return
- Defined escalation process for:
    - “Funds not received” cases
    - Non-USD inbound investigation
    - Return processing coordination with OpenPayd

Customer Support scripts must clearly state that SWIFT transfers are not instant and may take multiple business days.

SWIFT Processing & Customer Expectation Management

SWIFT MT103 is not a real-time rail.

Operational considerations:

- Funds may take 1–5 business days, depending on correspondent routing
- Correspondent/intermediary fees may reduce the net credited amount
- Customer may send 100 USD and receive less due to third-party charges

Requirements:

- Confirmation from Tribe/OpenPayd whether correspondent charges are visible in MT103 fields
- If available, capture the charge breakdown in reporting for Customer Support visibility
- Include a disclaimer in onboarding and FAQ regarding possible intermediary charges

Me-to-Me Funding Monitoring

Phase 1 operates under a strict **first-party (Me-to-Me) funding model**.

- Operational/Risk requirements:
    - Existing Risk Monitor rules must validate the sender name vs IBAN holder
    - Third-party inbound transactions are not supported
- Enhanced monitoring for:
    - High-frequency inbound activity
    - Structured transaction patterns
    - Rapid inbound → card spend behaviour

    - Suspicious activity must trigger AML review under existing FCMU procedures.

Virtual & Physical Card Operational Readiness

Although Phase 1 is Virtual-first, the operational configuration must support future physical issuance.

Requirements:

- Postal method configuration in CCF (DHL/FedEx etc.)
- Card fulfillment readiness under the Malta program
- Replacement/reissue operational process defined

Diamond / Platinum customers may request physical cards even during early rollout.

Correspondent Fee Transparency

Inbound MT103 messages may include:

- OUR / SHA / BEN charge types
- Correspondent/intermediary fee deductions

Operational requirements:

- Confirm which MT103 fields are captured by Tribe
- Ensure Customer Support has visibility of net vs instructed amount
- Document internal process for handling fee disputes

Country & Risk Segmentation

Operational rollout must consider:

- Low / Medium / High risk jurisdiction classification (per OpenPayd)
- High-risk countries may require NatWest approval
- Country tagging at IBAN and card level (for reporting & AML monitoring)

Rollout sequencing must align with:

- Compliance sign-off
- Operational capacity
- Risk appetite

Impact on Customer Support (CS)

Introduction of **dual USD balances (IBAN vs trading)** creates a high risk of customer confusion

- Requires a clear naming convention and UX distinction

Increased ticket volume expected for:

- SWIFT transfer delays (non-instant funding)
- Rejected non-USD transactions
- Net amount received vs amount sent (fee-related queries)
- Inability to withdraw directly from IBAN
- Difference between IBAN funding vs existing trading funding

Strong dependency on **clear customer communication**, including:

- USD-only funding (no FX support)
- SWIFT processing timelines
- Me-to-Me restriction (no third-party transfers)
- IBAN vs trading balance usage

Customer Support must be able to explain:

- Why this IBAN exists vs existing funding methods
- How funds move between IBAN and trading balance
- How card usage is linked to IBAN balance

Dependency on **Product/UX decisions**:

- Naming convention for USD IBAN vs USD trading balance
- In-app messaging and disclaimers

Dependency on the **Card capability rollout**:

- Virtual card is default
- Physical card eligibility is tier-based
- Apple Pay availability is subject to country certification
- CS training and knowledge base to be developed in the later phase

10. Key Dependencies

- OpenPayd SWIFT documentation
- ISO20022 reason code list
- Sandbox parity
- Visa readiness
- Tribe resource allocation

- Compliance sign-off

11. Delivery Phasing

Phase A – Detailed Design

- Confirm MT types
- Finalize fee logic
- Finalize return handling
- Refined estimate

Phase B – Implementation

- Tribe development
- OpenPayd configuration
- Sandbox & UAT

Phase C – Go Live

- Production enablement
- Compliance approval
- Monitoring.

10. Reconciliation & Finance Impact

Finance must support (Phase 1 scope):

1. OpenPayd Master vs Client Ledger (Inbound only)
2. SWIFT inbound vs credited amounts
3. SWIFT inbound returns (linked/unlinked)
4. Visa settlement vs client ledger
5. Scheme fees (inbound only)

Outbound SWIFT reconciliation will be defined in a future phase.

<u>CS ACTIONS:</u>

Clear differentiation needed between two USD balances (IBAN vs trading) → major confusion risk. **CS training + BOT to help support this mindset change**

- Define **naming convention** (e.g. “USD Payment Account” vs “USD Investment Account”). **CS training + BOT to help support this**
- Strong **customer communication required on USD-only funding** (no FX, non-USD rejected). **training + BOT to help support this and deflect customer inquires**
- Highlight difference vs existing flow where **trading IBAN accepts multiple currencies**. t**raining + BOT to help support this and deflect customer inquires**
- **Me-to-Me only** → no third-party transfers (needs clear CS messaging). **training + BOT to help support this mindset change(same as in AUS)**
- **No outbound from IBAN** → customers must move funds to trading account to withdraw. **training + BOT to help support this mindset change+ clear user flow+ disclaimers + marketing to align with this**
- Prepare messaging for **“why do I need this IBAN vs existing USD funding option”**. **to review with the PMs the agenda and based on that determine best approach**
- Set expectations:
    - SWIFT funding only
    - Not instant
- Align on **virtual card default + physical card eligibility rules**. **training + BOT to help support this+ marketing + user flow**
- Confirm **Apple Pay dependency & country limitations** (certification per country). **Training+BOT**